

SAFE — DETAILED CONVERSION SCENARIOS

What conversion *looks like* — across outcomes.

The companion to "How Your SAFE Converts." This walks the exact math for a \$50,000 and \$100,000 investment across a range of illustrative Series A outcomes — and the downside case if a priced round never happens.

VALUATION CAP \$20M <i>post-money</i>	DISCOUNT None	MINIMUM CHECK \$50,000
SERIES A TARGET \$13M · Q4 2026	CONVERSION Automatic	EXECUTION DocuSign

01 — HOW TO READ THESE SCENARIOS

Three levers drive every outcome.

Your SAFE locks in at a \$20M post-money cap. What that's worth at the Series A depends on three things — all of which follow from simple arithmetic, not from any forecast of the company's value.

LEVER 1

Your ownership floor

Fixed the day you sign. A post-money cap sets your share of the company before new money.

Investment ÷ \$20M

LEVER 2

The cap advantage

Your paper markup at conversion — how far the Series A prices above the \$20M you locked in.

Series A pre-money ÷ \$20M

LEVER 3

Dilution

New Series A money and any option-pool top-up dilute every holder, including you.

Reduces final %

02 — THE SCENARIO MATRIX

From \$50K to \$500K, across illustrative rounds.

The Series A pre-money figures below are **hypothetical illustration points** — InPursuit's actual Series A price is set in term-sheet negotiation, not now. They are not a forecast of the company's value. Position figures track the cap advantage before option-pool dilution.

CONVERSION AT THE \$20M POST-MONEY CAP					
Floor: \$50K = 0.25% · \$100K = 0.50% · \$250K = 1.25% · \$500K = 2.50% · multiple = Series A pre-money ÷ \$20M					
ILLUSTRATIVE SERIES A	CAP ADV.	\$50K	\$100K	\$250K	\$500K
At the cap \$20M pre-money	1.0×	\$50,000	\$100,000	\$250,000	\$500,000
Modest step-up \$30M pre-money	1.5×	\$75,000	\$150,000	\$375,000	\$750,000
Step-up \$40M pre-money	2.0×	\$100,000	\$200,000	\$500,000	\$1,000,000
Strong round \$50M pre-money	2.5×	\$125,000	\$250,000	\$625,000	\$1,250,000
Very strong round \$60M pre-money	3.0×	\$150,000	\$300,000	\$750,000	\$1,500,000
Illustrative arithmetic only, shown before option-pool top-up and other dilution, which reduce final ownership. "Position" is the cap advantage applied to your investment — not realized value and not a return; equity is illiquid until a later liquidity event. Each position already reflects dilution from the \$13M of Series A money, then equals (your investment ÷ \$20M) × the Series A pre-money. On phones the \$250K and \$500K columns are hidden — the PDF shows all four.					

03 — A WORKED EXAMPLE, LINE BY LINE

\$100,000 into a \$40M Series A.

One concrete case, every step shown — including the dilution from the \$13M of new Series A money, so nothing is hidden behind the shortcut.

\$100K CHECK · ILLUSTRATIVE \$40M PRE-MONEY SERIES A		≈ \$200,000 position
Your investment		\$100,000
Post-money cap		\$20,000,000
Ownership floor investment ÷ cap, set the day you sign		0.50%
Cap advantage Series A pre-money ÷ cap — your paper markup		2.0×
Series A new money the target raise that triggers conversion		\$13,000,000
Post-money after Series A \$40M pre + \$13M new = \$53M		\$53,000,000
Dilution from new money \$40M ÷ \$53M — new investors take ~24.5%		×75.5%
Your ownership after the round 0.50% × 75.5%		0.377%
Position value 0.377% × \$53M — equals 0.50% × \$40M pre-money		\$200,000
A typical 10–15% option-pool refresh at the Series A would dilute the 0.377% further. The \$40M pre-money is a hypothetical illustration point, not a forecast. This is paper value in an illiquid security — not realized return.		

04 — SCENARIO BY SCENARIO

The same SAFE, four endings.

SCENARIO A · AT THE CAP

1.0×

The Series A prices at the \$20M cap.

Your SAFE converts at the same price new investors pay. No markup, no penalty — you simply convert into Series A preferred at your ownership floor. A \$50K check holds ≈ 0.25%; a \$100K check holds ≈ 0.50%, each subject to dilution from the new round.

This is the floor case for an at-or-above-cap round. You are now a preferred shareholder alongside the Series A.

SCENARIO B · STEP-UP

2.0×

The Series A prices at roughly twice the cap.

New investors come in at the higher round price; you keep the \$20M cap. That spread is the early-investor advantage the SAFE exists to capture — on paper, your conversion basis is marked up about 2× before dilution.

This is the range a disciplined Series A is most often defended in, given the cap-to-raise ratio. It remains illustrative, not a forecast.

SCENARIO C · STRONG ROUND

3.0×

The Series A prices well above the cap.

The same mechanics, amplified: the further the Series A prices above \$20M, the larger the markup your locked-in cap captures relative to new money entering the round.

Upside is unbounded by the cap on the high side — but it is paper value in an illiquid security until a liquidity event, and dilution still applies.

SCENARIO D · DOWNSIDE

Loss

The priced round never happens.

A SAFE has no maturity and no interest — so if no qualifying Equity Financing closes, it simply remains outstanding until a liquidity event or a dissolution. In a wind-down, the SAFE ranks behind the company's creditors; recovery may be partial or zero.

This is the central risk of the instrument and of early-stage investing generally: you can lose your entire investment.

05 — TWO THINGS WORTH KNOWING

Below the cap, and the loss backstop.

IF THE ROUND PRICES BELOW \$20M

You convert lower — and get more

With no discount and cap-only terms, a Series A priced under \$20M means you convert at that lower round price, receiving a larger ownership stake than the cap floor implies.

IRC §1244 — DOWNSIDE CASE

Ordinary-loss treatment

If the investment results in a loss after conversion to qualifying stock, §1244 may allow up to \$50,000 (\$100,000 joint) to be deducted as an ordinary loss. Eligibility depends on final entity structure and your circumstances — consult your tax advisor.

IF DOWNSIDE PROTECTION MATTERS TO YOU

The bridge is also offered as a **Convertible Note** — same \$20M cap and conversion mechanics, but with debt seniority over the SAFE in a wind-down, 5% accruing interest that increases conversion shares, an 18-month maturity backstop, and a \$166 bad-debt deduction available to debt holders.

Same upside basis, more protection. Ask for the Convertible Note brief to compare side by side.